THE ROADBLOCKS

A closer look at the compliance drag on the automotive sector

AUTOMOTIVE

492
COMPLIANCES

- **173** CENTRAL
- **313** STATE
- **6** MUNICIPAL

FOUR-STAGE APPROVALS

- Setting up
- Pre-commissioning
- Post-commissioning
- Post-production

MAJOR APPROVALS NEEDED

- Incorporation of the entity
- Land allotment *('land' falls under the state list although transfer of property falls under concurrent list, where both the Centre and states can legislate)*
- Construction
- Labour
- Safety and health
- Industry-specific approvals
- Tax registrations
- Environmental clearance—from the central as well as state pollution control boards

It would take anywhere between 2–4 years for an automotive original equipment manufacturer to set up a car manufacturing facility in India, says Ravi Bhatia, president & director, JATO Dynamics

urban land records with GIS (geographic information system) mapping, establishing an IT-based system for property record administration and strengthening the financial capability of local bodies.

India also needs to look at ease of doing business holistically, for both domestic and international entrepreneurs, as well as for investors—particularly international ones—because they are completely mobile and have the option to invest in more business-friendly countries. "Foreign investment is the acid test of a country with respect to ease of doing business. Several investors and business houses have bypassed India in favour of Thailand, Vietnam and Malaysia," says Pahwa.

Agarwal says the Union government has demonstrated good intentions. Some may argue that reforms have been slow, but consolidating 17 diverse indirect tax systems into one GST and making it digital was a significant step for ease of doing business, he adds. Moreover, the government has attempted to reduce the deep mistrust of entrepreneurs by legislating the Jan Vishwas Act and reducing the criminality in at least 42 Union Acts. It has also given states a roadmap to follow—states such as Madhya Pradesh and Tamil Nadu have already begun implementing some measures.

What Industry Wants

Forbes believes that when the Modi government first came to power in 2014, there was a major thrust on improving ease of doing business and promoting competitive federalism among states. But that has been on the wane since. "There were attempts to improve the ease of doing business, but for everything that improved, there was something else that got worse," he says. "Sebi, for instance, has become a much more onerous, painful regulator over the last and almost every year." Forbes proposes two approaches to cut red tape. One is an idea that has been around for some time but has not delivered—single-window clearance. This is because it has never really been a single window. Citing the example of Vietnam, Forbes demonstrates how when the country sets up an industrial park, it empowers a single official body to do everything, from giving pollution clearance and electricity connections to issuing operating licences and the health and safety certificate. Eliminating the countless regulations—some 6,000 of them with imprisonment clauses—that have not been used in the past decade, is another priority.

With India unlikely to have anything like DOGE (Department of Government Efficiency) in the US, or the zero labour laws in China, "it is the *madhyam marg* (middle road) we seek with regard to regulatory cholesterol," says Sabharwal. "I am not arguing against the State, or regulation. I am just saying that 67,000 compliances is too much." His antidote to reduce regulatory cholesterol is to rationalise, decriminalise and digitise. "You don't need 75 ministries in Delhi. There are 250 people with the rank of secretary to the Government of India. The pyramid has become a cylinder which soon will become an inverted cone. It should be an Eiffel Tower, with a few people on the top and a large base," he says, adding that the 26,000-odd imprisonment clauses should be trimmed to 1,000, or even 500.

Similarly, India, which has the world's most innovative and unique digital public infrastructure that powers services like Aadhaar, Digilocker, Digiyatra and direct benefit